Age	Total Contributions	Rate of Return (6%)	Total
52	$90,000	$73,799.96	$163,799.96
53	$95,000	$83,927.96	$178,927.96
54	$100,000	$94,963.63	$194,963.63
55	$105,000	$106,961.45	$211,961.45
56	$110,000	$119,979.14	$229,979.14
57	$115,000	$134,077.89	$249,077.89
58	$120,000	$149,322.56	$269,322.56
59	$125,000	$165,781.91	$290,781.91
60	$130,000	$183,528.83	$313,528.83
61	$135,000	$202,640.56	$337,640.56
62	$140,000	$223,198.99	$363,198.99
63	$145,000	$245,290.93	$390,290.93
64	$150,000	$269,008.39	$419,008.39

Keep in mind that you'd need to factor in the future rate of inflation for more accurate numbers. However, because the average rate of return of 6% that we use in these examples far exceeds today's average rate of inflation, you'd still end up with a pretty nice sum of money regardless. Also keep in mind that in these two examples, the numbers could be significantly higher if you earn a higher average rate of return on your annual investment.

Based on these examples, it's very clear that the power of compounding is magnified the more you invest, the more interest your money earns, and the more time your money is given to grow. So ideally, you want to begin investing as early as you can. Even if you are in your 40s or 50s or beyond, you can still take advantage of the power of compounding over time. In this case, your goal would be to catch up by increasing your investment amounts, which you can do by finding ways to increase your income. For instance, if you invest $10,000 a year ($833.33 a month) with an average rate of return of 6%, you'd have $232,758.77 after 15 years and $548,642.93 after 25 years.